The Rotation Deepens

June payrolls print +57K vs. 115K expected. S&P 500 −0.07% as the Dow adds 1.14% and the chip complex extends its slide. Dividend +0.94%, Growth −1.78%. Markets closed Friday for July 4.

THE SESSION

The question this week was built around got its answer at 8:30 this morning, and the answer was softer than nearly every estimate. June payrolls rose 57,000 against a consensus near 115,000, with April and May revised down a combined 74,000. The unemployment rate ticked down to 4.2% — but on a falling participation rate rather than on hiring, and leisure and hospitality shed 61,000 jobs on weaker-than-usual seasonal hiring. The strongest argument for a September rate hike weakened in a single print. The market's response was not to sell — it was to rotate.

The Dow rose 1.14% to 52,899.95 while the Nasdaq fell 0.85% to 25,818.47; the S&P 500 split the difference, closing effectively flat at 7,477.63 (−0.07%). Beneath the quiet index, the reshuffling was substantial. The semiconductor complex extended Wednesday's decline into a second session after an overnight rout in Asia — SK Hynix and Samsung fell hard in Seoul and the pressure carried directly into U.S. equipment and memory-adjacent names. The proximate concerns are familiar: Meta's plan to resell excess computing capacity raised questions about the discipline of hyperscaler spending, reports that Apple is evaluating Chinese memory suppliers weighed on the incumbents, and TSMC's spring revenue growth came in shy of elevated expectations. After a first half in which the chip cohort rose more than 80%, the market needed little additional invitation to take profits.

What made the day constructive rather than concerning was where the money went. The soft payrolls print pulled Treasury yields lower and took hike odds down with them, and rate-sensitive, cash-generative businesses caught the bid immediately — utilities, staples, healthcare, defense, and the dividend complex broadly. DVY rose 1.27%; this was its kind of session. The VIX fell 3.19% to 16.06, which is not the signature of a market de-risking — it is the signature of a market re-sorting. Gold added 1.31% to $4,136 and Bitcoin rose 2.33% to $61,357 as the digital sleeve extended its early-July recovery.

Geopolitics stayed on the tape without driving it. Iran begins the state funeral of Ayatollah Ali Khamenei on Saturday, warned the U.S. and Israel against any action during the mourning period, and told tankers in the Strait of Hormuz to use Tehran-approved routes or face a "forceful response" — even as the Doha talks concluded with a constructive read and Kuwait sharply lifted June crude output following the U.S.-Iran deal. The defense sleeve firmed on the backdrop, with Lockheed and General Dynamics both outperforming. Markets are closed tomorrow for Independence Day; the second half opens with the tape rebalanced, not broken.

IOWN Tactical: No S&P 500 trim or buy thresholds are in play — the index sits essentially flat near its highs. Days like this are what the two-sleeve structure is for: the Dividend Strategy captured the rotation while the Growth Portfolio absorbed a chip repricing that changed prices, not theses.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

GPC +12.92% DIVIDEND STRATEGY

The strongest holding on the tape by a wide margin, closing at $132.57 after trading as high as $135.44. The Elliott-backed separation into standalone automotive and industrial companies — targeted for the first quarter of 2027, with investor days set for the second half of this year — remains the dominant story around a name that entered the day at a deep discount to peers. Q2 results arrive July 21.

ETHA +5.50% DIGITAL ASSET ETF

Closed at $12.86, leading the digital sleeve's second straight recovery session as Ether outpaced Bitcoin on the day.

LMT +4.38% DIVIDEND STRATEGY

Closed at $544.70, adding to Wednesday's advance. Citigroup's upgrade to Buy with a $582 target continues to work through the name, and Iran's warnings around the Khamenei funeral period — plus its Hormuz routing ultimatum — keep the multiyear procurement thesis and a record backlog front of mind.

SYK +4.20% DIVIDEND STRATEGY

Closed at $326.54 as healthcare led the defensive bid; med-tech was a primary destination for money rotating out of semiconductors.

COIN +3.92% GROWTH PORTFOLIO

Closed at $165.48, extending Wednesday's advance as the crypto-adjacent trade firmed alongside Bitcoin's move above $61,000.

HOOD +3.76% GROWTH PORTFOLIO

Closed at $112.73. 1inch integrated Robinhood Chain as tokenized stock trading moved onchain, adding a product catalyst to the platform-volume story.

DECLINERS

LRCX –10.26% DIVIDEND STRATEGY

A second consecutive double-digit decline, closing at $351.11 — roughly a 19% two-session reset. The wafer-fab equipment group bore the brunt of the Asia spillover and the profit-taking in a cohort that rose more than 80% in the first half. Nothing in the tape is company-specific; the position's first-half gains remain substantial.

MRVL –9.84% GROWTH PORTFOLIO

Closed at $245.29, tracking the equipment names lower for a second session as AI-infrastructure exposure repriced on hyperscaler-spending questions.

HUT –8.18% GROWTH PORTFOLIO

Closed at $97.14. The miners diverged from the ETF tape again — mining economics, not crypto flows, drove the decline, with MARA down alongside.

MARA –7.25% GROWTH PORTFOLIO

Closed at $12.40 in sympathy with HUT as the mining complex lagged a firm Bitcoin tape.

CRDO –6.97% GROWTH PORTFOLIO

Closed at $241.02, caught in the AI-connectivity repricing after an outsized first-half run.

KEYS –6.48% GROWTH PORTFOLIO

Closed at $313.86 as test-and-measurement traded with the semiconductor complex.

HOLDINGS NEWS

ABT (Dividend Strategy). Baird initiated coverage of Abbott Laboratories with an Outperform rating. Shares rose 3.35% to $95.27, helped further by the day's healthcare rotation.

CVX (Growth Portfolio). Wolfe Research upgraded Chevron. Shares added 2.01% to $169.02 even as crude extended its post-Doha decline and Kuwait lifted output.

CAT (Dividend Strategy). Closed down 2.81% at $963.53, a second day of pressure following reports of a Michael Burry short position and growing valuation questions around the company's AI-datacenter exposure.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.94%

vs. DVY +1.27% | SPY –0.11%

GROWTH PORTFOLIO ✗ TRAIL

–1.78%

vs. IUSG –1.04%

YEAR-TO-DATE

Dividend +15.98% vs DVY +14.42% / SPY +9.81%

Growth +17.34% vs IUSG +10.64%